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To: All VAT Registered Persons

Implementation of Revised Tax Invoice Format

Issued under the Value Added Tax Act No. 14 of 2002
(Gazette Extraordinary No. 2481/22 dated March 27, 2026)

1. Introduction

The Inland Revenue Department (IRD) hereby informs all persons registered under the Value Added Tax (VAT) that a revised Tax Invoice format and specification has been officially introduced with the objective of standardizing invoicing practices, strengthening tax compliance, and enhancing transparency in VAT reporting.

Accordingly, the revised Tax Invoice format shall be deemed legally binding and must be duly adopted and implemented by all VAT-registered persons when issuing invoices in respect of taxable supplies.

2. Effective Date and Transitional Arrangement

- The revised Tax Invoice format will be fully implemented effective from **July 1, 2026**.
- The previously issued format under Gazette No. 2463/05 has been **withdrawn from this date**.

Accordingly, all taxpayers are required to adopt to new invoice format **prior to the effective date** to ensure full compliance.

3. Objective of the New Format

The introduction of a standardized Tax Invoice aims to:

- Ensure **uniformity** in invoices issued across all sectors
- Improve **accuracy and consistency** in VAT reporting
- Facilitate **efficient tax audits and verification**
- Minimize errors and discrepancies in VAT computations
- Strengthen **digital tax administration systems**, including API-based reporting

4. Key Mandatory Requirements (Explained)

4.1. Clear Identification as a Tax Invoice

Every invoice must prominently display the words “**TAX INVOICE**”. This ensures that the document is clearly recognized as a VAT-compliant invoice and distinguishes it from quotations, proforma invoices, or receipts.

4.2. Supplier Information

The following details must be included exactly as per the VAT registration certificate:

- **Taxpayer Identification Number (TIN)** (9 digits)
- Registered business name
- Registered address

This information confirms the identity of the supplier and enables traceability in the tax system.

4.3. Purchaser Information

Where the purchaser is VAT-registered, the following must be stated as per the VAT registration certificate:

- Purchaser's TIN
- Name
- Address

Including purchaser details is essential to support input VAT claims and enable cross-verification between supplier and purchaser records

4.4. Invoice Serial Number

Each Tax Invoice must contain a **unique serial number** following the prescribed structure:

Format:

YYMMM_QQQQ_XXXXX

Why this is important:

- Prevents duplication or omission of invoices
- Enables tracking of transactions
- Supports audit trails and system validation

Explanation:

- **YY** – 1st two digits of the Year of invoice issue (e.g., 26 for the year 2026)
- **MMM** – 1st three characters of the Month (e.g., JUL for the month of July)
- **QQQQ** – Identifier used for invoice classification. This code may consist of letters, numbers, or a combination of both, and is used to identify different parts or categories within an organization, such as branches, departments, units, projects, customers, or invoice type classifications.

- **XXXXXX** – Sequential numeric number. This number shall consist only of digits, without any letters or special symbols. The numbering should normally continue from the last invoice issued. However, where the reason is beyond the control of the VAT-registered person, the sequence may restart at the beginning of a new month or year.

The invoice numbering format “YYMMM_QQQQ_XXXXX” has been introduced for use by VAT-registered persons when issuing Tax Invoices. However, where a registered person intends to adopt a similar invoice numbering structure for other categories of invoices, including Commercial/Inclusive Invoices, Exempted Invoices, Proforma Invoices, or Quotation Invoices, the “QQQQ” code may also be utilized to classify such invoice types accordingly.

Therefore, the said code may be assigned in any manner appropriate to the nature of the business or the taxable activity carried on by the registered person.

Important Rules:

- The complete invoice number, including any required letters, numbers, or symbols, must not contain spaces and must be limited to a maximum of 40 characters.
- Data length for QQQQ is 1 to 15 characters. It is allowed numbers, letters or mixed.
- Sequential continuity must be maintained

Furthermore, the mandatory component “YYMMM_QQQQ_” prescribed in the invoice number format specified above may be treated as optional for any registered person who, prior to 1 July 2026, obtains the approval of the Commissioner-General of Inland Revenue upon expressing interest in integrating their Enterprise Resource Planning (ERP) system with the Revenue Administration Management Information System (RAMIS) through a Web API for the real-time transmission of tax invoices or invoice details, provided that such integration is completed on or before 31 December 2026.

4.5. Invoice Dates

Two dates must be clearly stated:

- **Invoice Date** – When the invoice is issued
- **Date of Supply** – When the ownership of goods/services are passed

This distinction is important for determining the **correct tax period** for VAT reporting.

4.6. Description and Quantity of Supply

Every tax invoice must clearly describe the goods supplied or services provided. The description should be detailed enough for both the customer and the Inland Revenue Department to easily identify the nature of the transaction.

Description of Supply

The description should:

- Clearly state the name or nature of the goods or services supplied.
- Avoid vague terms such as “items,” “products,” “services,” or “miscellaneous.”
- Be specific enough to identify what was actually sold or provided.

Providing a proper description helps:

- Customers understand what they are paying for.
- Businesses maintain accurate accounting records.
- IRD officers verify the nature of transactions during audits or investigations.
- Prevent disputes between suppliers and purchasers.

Quantity of Supply

The invoice should also indicate the quantity of goods or services supplied using appropriate measurable units.

Depending on the nature of the transaction, quantity may be expressed as:

- Number of units or pieces
- Kilograms, litres, meters, or other measurements
- Like Hours or days for services
- Packages, boxes, or cartons

4.7. Value of Supply and VAT Calculation

All amounts must be stated in **Sri Lankan Rupees (LKR)** with two decimal places.

The invoice must clearly show:

1. **Value of supply (excluding VAT)**
2. **VAT amount charged**
3. **Total value including VAT**

This breakdown is necessary for accurate VAT calculation and proper input/output tax reporting.

However, where a registered person issues Tax Invoices in foreign currency with the requisite approval of the Central Bank of Sri Lanka, such person shall additionally convert and indicate, at a minimum, the following amounts in Sri Lankan Rupees (LKR):

Value of Supply (excluding VAT);
VAT Amount Charged; and
Total Value Inclusive of VAT.

Such conversion shall be made by applying either the foreign currency selling rate published by the Central Bank of Sri Lanka on the date of the Tax Invoice.

For this purpose, the registered person are permitted to include additional rows or columns in the invoice format, where necessary. However, the converted value of the supply of goods or services shall not be less than the open market value of such supply.

4.8. Limitation to VAT-Taxable Supplies

Tax invoices issued under this format must include **only supplies that are subject to VAT**.

Supplies that are Exempt from VAT, or outside the scope of VAT should **not be included** in a Tax Invoice.

However, where any exempt or excluded supply is directly related to, or forms an integral part of, the taxable supply of goods or services specified in a tax invoice, such exempt or excluded supply may be separately disclosed in that tax invoice.

5. Optional Information

The following may be included where applicable:

- Mode of payment (cash, bank transfer, card, etc.)
- Place of supply
- Total amount in words
- Additional notes or references

These fields are not mandatory but may enhance clarity and business communication.

6. Flexibility in Design

Taxpayers are allowed to:

- Customize the layout of invoices
- Add logos, branding, or additional columns

However, all mandatory elements shall be clearly included and readily identifiable in accordance with the requirements specified in the Gazette notification.

7. Importance of Compliance

Failure to comply with the prescribed Tax Invoice format may result in:

- Rejection of invoices for VAT input credit purposes
- Inconsistencies in VAT returns
- Increased audit scrutiny
- Possible penalties under the VAT Act

8. Assistance and Further Information

Taxpayers are advised to refer to official communications issued by the Inland Revenue Department (IRD), as well as updates published on the IRD web portal (www.ird.gov.lk).

Commissioner General of Inland Revenue
Inland Revenue Department

